FEASIBILITY CONCEPT PAPER

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STL Nauru

A Small Town Lottery Platform for the Republic of Nauru —
Market Readiness, Economic Need & Future Outlook

ECONOMIC GROWTH | DIGITAL INFRASTRUCTURE | TRANSPARENCY & INTEGRITY | COMMUNITY BENEFIT

PREPARED FOR	DATE	CLASSIFICATION	VERSION
STL Nauru Initiative	April 2026	Confidential — Internal Use	1.0

EXECUTIVE SUMMARY

This concept paper evaluates the feasibility of launching a **digital STL (Small Town Lottery) platform in the Republic of Nauru**—one of the world's smallest sovereign nations with a population of approximately 12,100. The STL model, characterized by **low-denomination and high-frequency draws**, is deeply embedded in **community culture and presents** a strong opportunity to **diversify national revenue streams**.

Our **findings are highly promising.** Nauru's economy has historically relied on phosphate mining and, more recently, revenues from the Regional Processing Centre (RPC) and fishing licenses. As national leaders explore **sustainable income sources, an STL platform offers a reliable and scalable supplementary revenue model.**

The platform's micro-bet structure **(starting at $0.25)** aligns well with the country's young median age (20.2) and growing digital adoption.

Recommended approach: A government-supported rollout of a regulated domestic lottery platform, leveraging mobile infrastructure and youth engagement, with revenues contributing directly to public services such as healthcare, education, and infrastructure.

TOTAL POPULATION
12,100
(as of 2026)

MEDIAN AGE
20.2
(young demographic)

EARLY ADOPTER POOL
2,500 – 4,000
(digitally active users)

ECONOMIC NEED
URGENT
(revenue diversification)

OPTIMISTIC SCENARIO
$1,095,000
(Growth-driven annual forecast)

Design should resemble a high-end McKinsey / World Bank digital transformation report page.

01 INTRODUCTION & RATIONALE

What Is the Small Town Lottery (STL)?

The **Small Town Lottery (STL)** is a government-authorized, low-denomination draw game originally developed for **scalable deployment in markets such as the Philippines**. It is designed as a **grassroots gaming system**, accessible to small communities and built around **frequent, low-cost** participation.

With three daily draws, STL integrates seamlessly into everyday life—offering consistent engagement for players, meaningful payouts for winners, and **predictable revenue streams** for public funding.

Game	Mechanic	Min. Bet	Payout
STL Pairs	Pick 2 numbers (1–40), exact order	$0.25	400× stake
STL Digits 2	Two-chamber draw (0–9), exact order	$0.25	40× stake
STL Digits 3	Three-chamber draw (0–9), exact order	$0.25	400× stake

Why Nauru?

Economic Vulnerability

Nauru's economy has historically relied on external funding sources, including Australian aid, the Regional Processing Centre (RPC), and fishing licenses. Diversification is a strategic priority.

Demographics

A population of approximately 12,100 with a median age of 20.2 reflects a young, mobile-native audience inclined toward digital platforms.

Small Footprint Advantage

With a total land area of just 21 square kilometers, a fully digital lottery model enables nationwide reach without physical infrastructure constraints.

Public Workforce Alignment

A large portion of the population is connected to government or RPC employment, making a lottery model that funds public services directly relevant to most households.

Demographics & Economy

$16,053 GDP per Capita (2026)	**20.2** Median Age (years)	**100%** Urban Concentration
12,100 GDP per Capita (USD)	**~1%** Tourism Share of GDP	**High** Government / RPC Workforce Share

Nauru operates within a high-cost economic environment, largely sustained by external capital inflows. Historically dependent on phosphate mining, the country has transitioned toward revenues from refugee processing agreements (RPC) and fishing licenses, maintaining a GDP per capita of approximately $16,053 (IMF 2026 estimates). However, the anticipated winding down of the RPC underscores the urgency for sustainable, long-term fiscal strategies and diversified revenue streams.

Digital Infrastructure

Nauru's digital infrastructure is steadily advancing, driven primarily by mobile internet adoption. Due to the island's compact geography, a single telecom provider effectively delivers nationwide 3G/4G coverage, enabling widespread access to mobile banking, SMS communication, and digital services. This connectivity foundation supports scalable, mobile-first platforms with minimal physical infrastructure requirements.

Technology Adoption Strategy

With a youth-dominant population, social media usage is highly prevalent among adults and older teens. This creates a favorable environment for digital engagement and mobile-based services. Any STL implementation should prioritize a mobile web-first approach, supported by SMS integration, ensuring accessibility without reliance on high-end smartphones or broadband connectivity.

03 MARKET READINESS ASSESSMENT

Demand Indicators — What Works in Nauru's Favor

Factor	Evidence	Verdict
Urgent National Need	Government highly motivated to find new revenue sources to replace fading RPC income.	Strong
Mobile Adoption	High mobile network coverage enables nationwide participation via digital and SMS platforms.	Strong
Youth Demographic	Median age of 20.2 reflects a population familiar with digital entertainment and micro-transactions.	Strong
Target Demographic Fit	Tech-savvy younger population and civil servants align well with the STL model.	Strong

Demand Constraints — What Works Against It

Factor	Evidence	Severity
Tiny Domestic Market	~12,100 residents limit total daily transaction volume.	High
Religious / Civil Opposition	Potential resistance from organized religious groups.	Medium
Tourism Absence	Limited external player base (tourism ~1%).	High

Patronage Likelihood — Assessment

Core Early Adopters (Phase 1)

- 2,500 – 4,000 individuals
- Digitally active adults with disposable income, primarily from government employment and RPC-related roles.
- A centralized mobile platform with seamless payment integration can fully activate this segment.

Overall Verdict: Nauru's small population presents natural limitations; however, its high population density, youthful demographic, and full mobile penetration make it an ideal test environment for a fully digitized, nationally regulated lottery platform. The primary challenge lies in positioning STL as a government-backed economic infrastructure initiative, rather than a peripheral or recreational activity.

The Legislative Avenue

Nauru does not maintain an extensive or rigid gambling regulatory framework, unlike larger jurisdictions. This creates a unique opportunity for the government to introduce bespoke legislation establishing a **Nauru State Lottery**. By structuring the platform as a government-chartered monopoly, operated by a third-party technology provider, **the revenue-sharing model can be formalized directly through an act of parliament**, ensuring both legal clarity and operational efficiency.

National Lottery Partnership Act

A direct public-private partnership between the Government of Nauru and a technology operator.

Under this model, the technology partner manages platform operations, while the government grants legal authority by designating the system as the official National Small Town Lottery.

This approach eliminates regulatory ambiguity and establishes a clear, enforceable operational framework.

Opposition & Risk Factors

Religious & Social Sensitivity

As seen across multiple Oceania nations, religious organizations hold significant social influence and may oppose gaming initiatives.

Policy Safeguard (Key Mitigation Strategy)

The proposed legislation must structurally guarantee that the government's **25%** revenue share is allocated into a **sovereign trust fund.**
This fund should be **explicitly** earmarked for:

- Public healthcare improvements
- Education and school development
- Community infrastructure in Yaren and surrounding districts.

This framing positions the lottery as a public good initiative, strengthening political and social acceptance.

05 BUSINESS MODEL

Game Design

Games | Users | Mobile

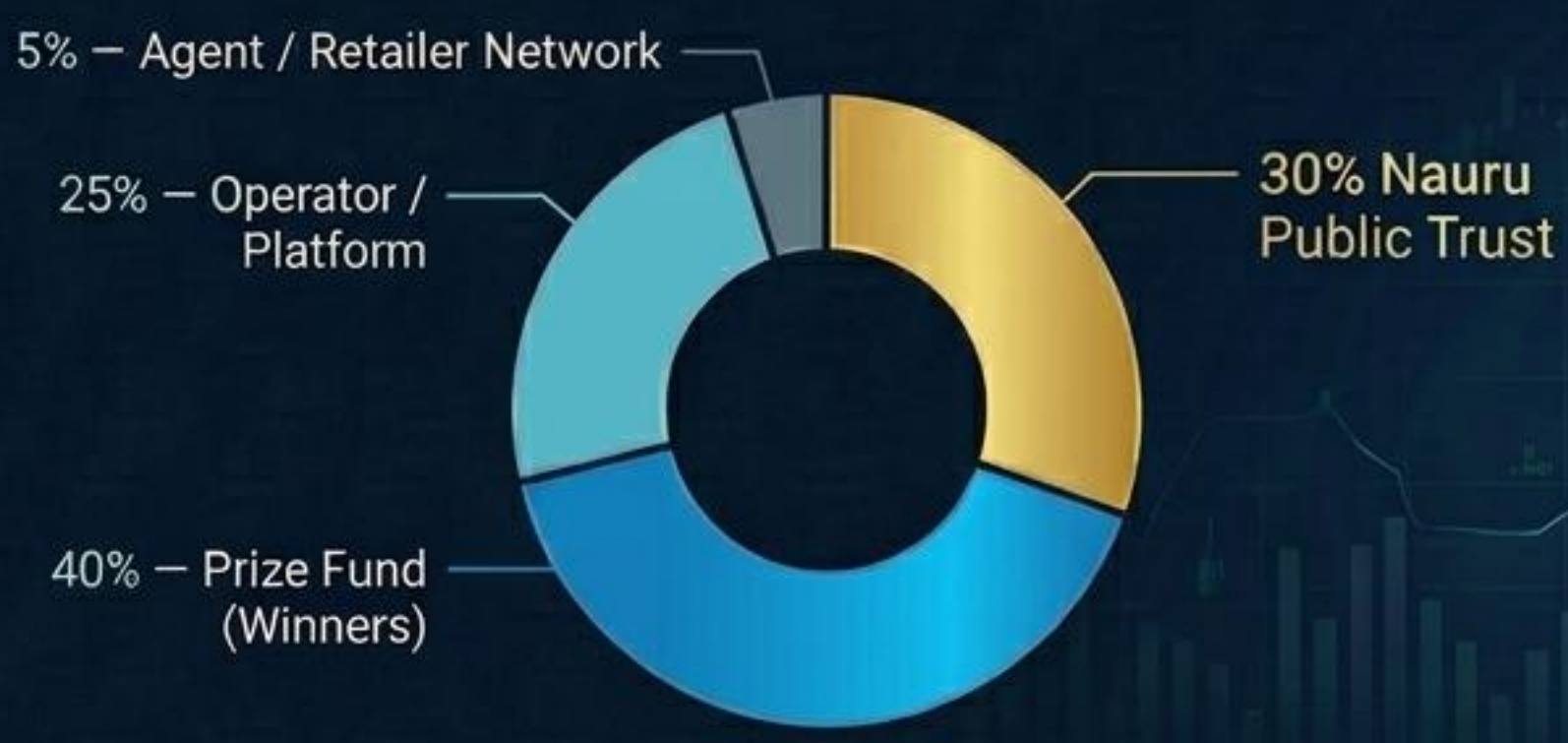
Game	Description	Min bet	Max bet	Prize multiplier
Nauru Digits 2	Pick 2 digits (0–9) in exact order	$0.25	$50.00	40×
Nauru Digits 3	Pick 3 digits (0–9) in exact order	$0.25	$50.00	400×
Nauru Pairs	Pick 2 numbers (1–40) in exact order	$0.50	$50.00	400×

Three daily draws: 10:00 AM | 3:00 PM | 8:00 PM (UTC+12 Nauru Time)

Mobile app push notifications | SMS alerts | Facebook updates

Revenue Allocation Model

Games | Revenue



Revenue Projections

Users | Mobile

Scenario	Annual Nauru Public Trust Payout	Assumption Details
Conservative	$219,000	(Assuming 2,000 active users spending an average of $1.00 daily)
Moderate	$573,000	(Assuming 3,500 active users spending an average of $1.50 daily)
Optimistic	$1,095,000	(Assuming 5,000 active users spending an average of $2.00 daily)

> The optimistic scenario assumes high engagement from the core adult population, supplemented by diaspora participation from regions such as Australia and Fiji.

06 | COMPARABLE MODELS IN THE PACIFIC

Nauru represents one of the most concentrated and captive lottery markets in the Pacific, driven by its small population size, geographic isolation, and full mobile reach.

Comparative models across the region demonstrate that micro-bet systems, digital-first execution, and government backing are critical success factors.

Country	Population	Model / Takeaway
Philippines	113 million	PCSO STL model. Proves micro-bet, high-frequency draws drive mass engagement
Vanuatu	~330,000	Digital-first execution enabled faster deployment and lower operational overhead
Tonga	~100,000	Government-backed model normalized participation through national branding
Nauru (Proposed)	12,100	Micro-state testbed relying on high domestic penetration via SMS and smartphone platforms

Country Users Digital Growth

Nauru's Strategic Position: Unlike larger markets, Nauru's compact population and infrastructure allow for near-total market penetration, making it an ideal environment to deploy a fully digitized, nationally integrated STL platform. This enables faster adoption cycles, lower operational complexity, and highly measurable engagement metrics.

01

Government Lobbying

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Public-Private Partnership Proposal

Present the feasibility study directly to Nauru government stakeholders, positioning the lottery as an immediate and sustainable public revenue solution in light of RPC uncertainty.

Establish a formal public-private partnership framework, including negotiation of the 25% sovereign trust allocation dedicated to national development.

02

Platform Customization

Technology Rollout

Platform Customization

Technology Rollout & Integration

Deploy a robust white-label lottery platform optimized for Nauru's infrastructure.

Prioritize:

- Mobile money integration
- Telecom billing systems
- SMS-based bet parsing
- A lightweight mobile web application

Ensure accessibility across all device types, minimizing reliance on high-end hardware.

03

Launch & Operations

Market Saturation Strategy

Launch & Operations

Market Saturation Strategy

Execute a nationwide launch campaign, leveraging Nauru's compact geography to achieve full market coverage simultaneously.

Key channels:

- Strategic billboard placements in Yaren
- High-frequency Facebook advertising campaigns (leveraging strong Meta usage)
- Community ambassador programs to drive adoption and trust.

Focus on rapid onboarding and immediate user engagement.

CONCLUSION

Nauru stands at a **critical fiscal juncture**, with the anticipated decline of its traditional revenue streams creating an urgent need for **new, sustainable sources of national income**.

Despite its small population of 12,100, the country's high density, youthful demographic, and widespread smartphone adoption create an ideal environment for a fully digitized Small Town Lottey Lottery (STL) platform.

A successful implementation could generate **nearly half a million dollars in annual public revenue**, directly supporting national infrastructure, healthcare, and education, while delivering a modern, accessible entertainment platform for citizens.

The recommended path forward is a swift, **deeply integrated public-private partnership**, ensuring that the platform is formally embedded within national systems from inception, latage, maximizing both adoption and long-term impact.

Projected Public Revenue Impact:

Optimistic Scenario: $1,100,000 annually

Supporting national development priorities